

APP

AppLovin is the rare adtech name combining hyper-growth with ~85% adjusted-EBITDA margins and prodigious free cash flow, a...

Street PT \$654.60 +29.1%

AppLovin

www.applovin.com

APP PUBLIC DRAFT

Updated July 11, 2026 · 4 versions

Mobile / Performance Advertising

AI Advertising (AXON)

AdTech

E-commerce / Web Advertising

30 ANALYSTS · CONSENSUS VIEW		
+29.1% upside to the Street target at 27.8x EV/Rev (LTM)		
PRICE	MKT CAP	STREET PT
\$506.98	\$170.3B	\$654.60
EV / REV	CONSENSUS	VS QQQ
27.8x	Strong_Buy	+20pp 1Y
All trading data as of the 2026-07-10 US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.		
FORWARD P/E	EV/REV 52-WK BAND	SHORT INTEREST
23.4x	18.3x-40.8x	4.2%
consensus fwd EPS	price effect only; today's shares, net debt + LTM rev	% of float
NET DEBT	SBC % OF REV	
\$1.1B	1.4%	
cash – total debt	LTM, the dilution drag	

WHAT MATTERS

- KEY DEBATE

Are AXON's results real and durable, or do the 2025 short-seller allegations (ID extraction, app-store policy violations, overstated e-commerce incrementality) point to risk the market is discounting?
- NEXT CATALYST

Q2 2026 results (guided to \$1.915-1.945B revenue) and the breadth of the self-serve Axon Ads Manager rollout through 1H 2026, the key test of whether the e-commerce expansion is working at scale.

BULL · BASE · BEAR

Bear Short-seller / data-practices overhang: Fuzzy Panda, Culper and Muddy Waters (Feb-Mar 2025) alleged AXON impermissibly	Base STREET \$654.60 (+29.1%) Street consensus Strong_Buy, 30 analysts; the \$654.60 target sits +29.1% above the \$506.98 close	Bull E-commerce / web TAM: The self-serve Axon Ads Manager opens the large e-commerce/web ad market well beyond mobile gaming
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extracts proprietary device/user IDs
and violates Google Play /...

BUSINESS OVERVIEW

IN ONE SENTENCE

AppLovin is a pure-play AI advertising platform whose AXON engine matches mobile, web, and e-commerce ads to the right users, after selling off its games business in 2025 to focus entirely on adtech. NASDAQ: APP; ~\$6.2B LTM advertising revenue at ~85% adjusted-EBITDA margins.

PLAIN ENGLISH

What it does, who pays

- AppLovin runs an AI that decides which ad to show which person inside mobile apps and websites.
- Advertisers pay AppLovin when those ads produce installs or sales.
- It sold off its mobile-games studios in 2025 to become a pure advertising company.
- The AI (AXON) is so efficient that ~85 cents of every revenue dollar is profit before interest, tax and D&A.

THE TECHNICAL VERSION

How it actually works

- AXON is a reinforcement-learning bidding/recommendation engine predicting each user's value in real time.
- AppDiscovery buys conversions for advertisers; MAX is the in-app auction/mediation marketplace for publishers.
- Revenue is a take-rate: AppLovin keeps the spread between advertiser payment and publisher payout.
- Optimizes for advertiser ROAS, now extending from gaming to web/e-commerce (Axon Pixel) and CTV (Wurl).

EXPLAINED SIMPLY

The analogy

- Think of a super-smart matchmaker that pairs each ad with the person most likely to act on it.
- Advertisers only pay when the match works, an install or a purchase.
- AppLovin quit making the games and now just runs the matchmaking machine for everyone.

KEY TERMS, DECODED

ROAS *Return on Ad Spend*

How much revenue an advertiser earns for each dollar spent on ads, the core metric AppLovin's AI optimizes.

AXON

AppLovin's proprietary AI engine that predicts user value and decides what to bid and which ad to show, in real time.

DSP *Demand-Side Platform*

Software advertisers use to buy ad inventory automatically across many apps/sites, the category AppDiscovery competes in.

Mediation

Software (AppLovin's MAX) that runs a live auction across multiple ad networks so a publisher always sells each ad slot to the highest bidder.

eCPM *effective Cost Per Mille (thousand impressions)*

What a publisher earns per 1,000 ad views, a key yield metric mediation tries to maximize.

CTV *Connected TV*

Ads delivered through internet-streaming TV (smart TVs, streaming sticks), AppLovin's expansion area via Wurl.

Attribution

Determining which ad actually caused an install or sale, central to AppLovin's pricing and to the short-seller dispute over how much of its conversions are truly incremental.

- **AppLovin Corporation (NASDAQ: APP)** has completed one of the sharpest strategic pivots in adtech, transforming from a mobile-games publisher into a pure-play, AI-driven advertising platform.
- The engine behind the shift is AXON, AppLovin's machine-learning recommendation and bidding system, which powers AppDiscovery (advertiser demand) and the MAX in-app bidding/mediation marketplace.
- In 2025 the company shed its legacy games business: on May 7, 2025 it agreed to sell its mobile-gaming studios to London-based Tripledot Studios for \$400M cash plus ~20% of Tripledot's equity (a deal valued around \$800M), completing the divestiture on June 30, 2025 and exiting roughly 10 studios.
- With games gone, AppLovin now reports as essentially a single advertising business and is pushing AXON beyond gaming into e-commerce, web, and connected TV (via its Wurl unit). The company was added to the S&P 500 effective September 22, 2025.
- Led by co-founder and CEO Adam Foroughi from Palo Alto, AppLovin trades near \$493 as of the 2026-06-10 close (~\$150.7B market cap). The central debate is the unresolved short-seller controversy over AXON's data practices, set against a financial profile most adtech peers can only envy.

SOURCES: **APPLOVIN COMPLETES SALE OF MOBILE GAMING BUSINESS TO TRIPLEDOT (BUSINESS WIRE)** · **CNBC, APPLOVIN, ROBINHOOD TO JOIN THE S&P 500** · **APPLOVIN 10-Q (PERIOD ENDED 2026-03-31), SEC EDGAR**

EXECUTIVE LEADERSHIP

CO-FOUNDER & CHIEF EXECUTIVE OFFICER

Adam Foroughi

Co-founded AppLovin in 2012; led the pivot from mobile-games publisher to pure adtech platform and publicly led the rebuttal of the 2025 short-seller reports.

CHIEF FINANCIAL OFFICER

Matthew A. Stumpf

Rose from VP of Finance to CFO; signs AppLovin's 2026 SEC certifications as principal financial officer. Succeeded Herald Chen, who moved off the CFO role to the board/advisory.

CHIEF TECHNOLOGY OFFICER

Vasily Shikin

CTO since January 2020 (VP of Engineering from 2012); oversees the AXON engine and platform engineering. Holds a Master's in Mathematics from Saint-Petersburg State University.

BOARD DIRECTOR (FORMER PRESIDENT & CFO)

Herald Chen

Former President and CFO of AppLovin; transitioned out of the CFO seat and remains on the board as Matthew Stumpf assumed the CFO role.

PRODUCT & REVENUE MODEL

- AppLovin operates a single Advertising platform built around AXON, its AI recommendation and real-time bidding engine.
- AXON (now AXON 2.0) uses reinforcement learning to predict each user's value and optimize bids across millions of auctions per second, driving return on ad spend (ROAS) for advertisers.
- The two pillars are AppDiscovery, the advertiser-facing engine that buys installs/conversions in real-time auctions, and MAX, the in-app bidding and mediation marketplace used by 100,000+ apps to maximize publisher yield.
- AppLovin monetizes on a performance/take-rate basis: advertisers pay for installs and conversions, and AppLovin keeps the spread between advertiser payment and publisher payout.
- Because the platform is largely automated, the model is extraordinarily profitable (~85% adjusted EBITDA margin in Q1 2026). The strategic growth vector is taking AXON beyond gaming: a self-serve 'Axon Ads Manager' launched October 1, 2025 (referral-only at first, broader rollout through 1H 2026) lets web and e-commerce brands install an 'Axon Pixel' and tap the same AI optimization, while CTV/streaming inventory is addressed through Wurl.

SOURCES: **APLOVIN Q1 2026 EARNINGS PRESS RELEASE (FORM 8-K EX. 99.1), SEC EDGAR** · **APLOVIN 10-Q (PERIOD ENDED 2026-03-31), SEC EDGAR**

RECENT NEWS

2026-06-30

AppLovin Opens AI Ad Platform to All Advertisers Globally, Renames Axon 'AppLovin Ads'SOURCE: [APPLOVIN OFFICIAL BLOG](#)

Pivotal commercial milestone: removed referral-code restrictions and opened self-serve e-commerce access to all advertisers across 1B+ daily active mobile users. Execution on broader advertiser onboarding is now the key variable heading into Q2/Q3 2026, operationalizing the e-commerce expansion thesis.

2026-07-01

AppLovin Sets Q2 2026 Earnings for August 5, Guided \$1.915, 1.945B Revenue at ~84-85% Adj EBITDA MarginSOURCE: [APPLOVIN INVESTOR RELATIONS](#)

August 5 is the next key catalyst, first full quarter after the AppLovin Ads self-serve launch. Street will watch whether the broader advertiser pool drove revenue above the high end of guidance and whether e-commerce ROAS can sustain the 28.8x EV/Rev multiple.

2026-06-26

AppLovin Opens Axon AI Ad Platform to All Advertisers, Removing Referral-Only AccessSOURCE: [YAHOO FINANCE](#)

General availability of the Axon self-serve platform (pledged since May earnings) could unlock ~100k new advertisers and a material incremental ad-spend opportunity, driving the +7.8% stock rally on announcement day.

2026-05-06

AppLovin Q1 2026 advertising revenue jumps 59% to \$1.84B; Q2 guided higherSOURCE: [SEC EDGAR \(FORM 8-K EX. 99.1\)](#)

The first full clean quarter as an ad-only company beat guidance again, with ~85% adjusted-EBITDA margin and \$1.29B free cash flow, validating the pivot and feeding the bull thesis on durable AI-driven growth.

2026-02-11

AppLovin reports FY2025: advertising revenue \$5.48B, net income from continuing ops \$3.43B (+116%), adj. EBITDA \$4.51B (+87%)SOURCE: [SEC EDGAR \(FORM 8-K EX. 99.1\)](#)

Full-year 2025 results show the post-divestiture business compounding fast, with ~\$3.95B full-year free cash flow and \$2.58B of buybacks, the financial backbone of the S&P 500 inclusion and the re-rating.

2025-09-22

AppLovin joins the S&P 500SOURCE: [CNBC](#)

Inclusion (announced Sept 5, effective Sept 22) forced index-fund buying and cemented AppLovin's transition from speculative adtech name to large-cap; shares hit all-time highs on the news.

2025-07-01

AppLovin completes sale of mobile gaming business to Tripledot StudiosSOURCE: [BUSINESS WIRE](#)

Closing the ~\$400M-cash + ~20%-equity divestiture (10 game studios) completed the pivot to a pure advertising platform and cleaned up the reported financials onto a continuing-operations basis.

2025-03-27

AppLovin shares plunge ~20% as Muddy Waters becomes third short-seller to attack its adtech

SOURCE: CNBC

Muddy Waters (following Fuzzy Panda and Culper in February) alleged AXON 'systematically' violates app-store terms by extracting proprietary IDs and overstates e-commerce incrementality, wiping ~\$20B of market value and creating the central debate around the name.

FINANCIALS & KEY METRICS

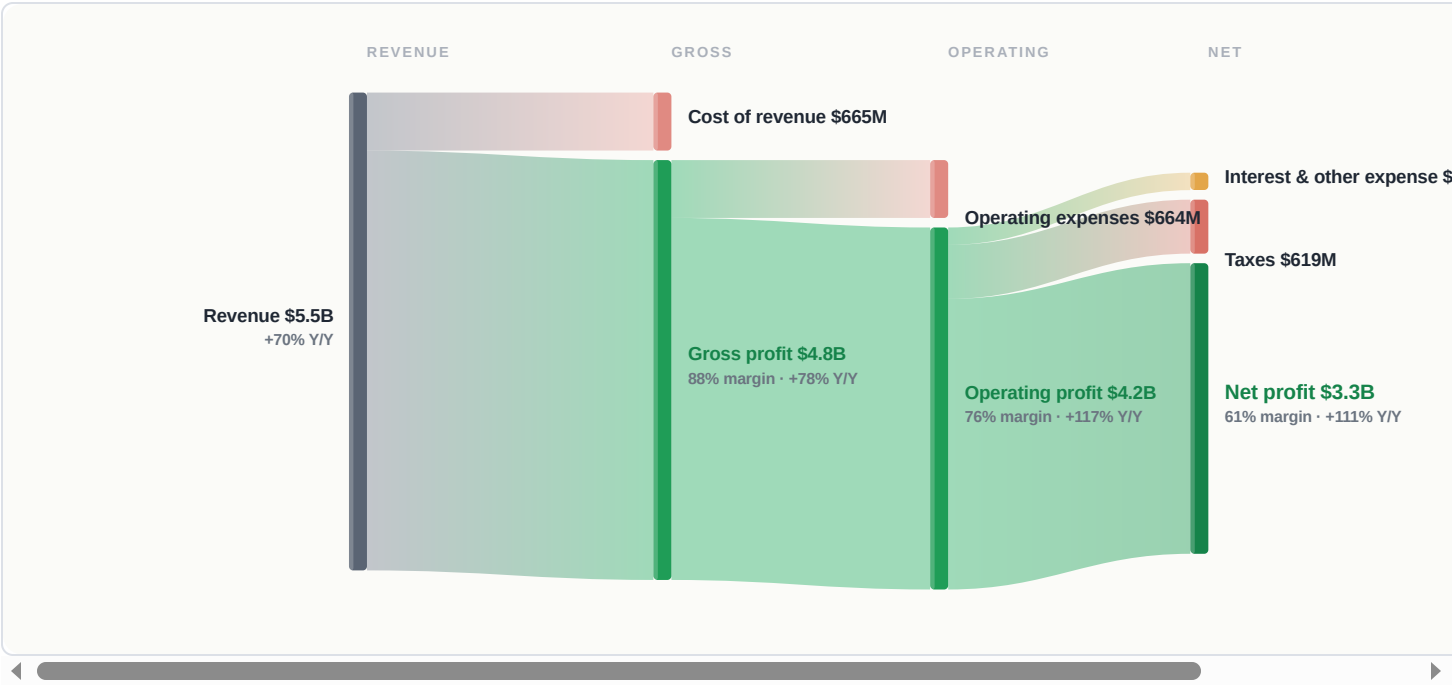
Reporting period: Q1 2026 (ended March 31, 2026); reported May 6, 2026. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

REVENUE \$1.84B ▲ +59% YoY Q1 2026	
FREE CASH FLOW \$1.29B Q1 2026	ADJUSTED EBITDA \$1.56B Q1 2026
ADJUSTED EBITDAMARGIN 85% Q1 2026	NET INCOME \$1.21B Q1 2026
DILUTED EPS \$3.56 Q1 2026	BUYBACKS \$1.0B of shares repurchased/wit hheld Q1 2026

SEGMENT DETAIL, BOOKINGS & GUIDANCE

Revenue Guidance	Q2 2026 GUIDANCE	\$1.915-1.945B	Adj EBITDA Guidance	Q2 2026 GUIDANCE	\$1.615-1.645B / 84-85% margin
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INCOME STATEMENT FLOW



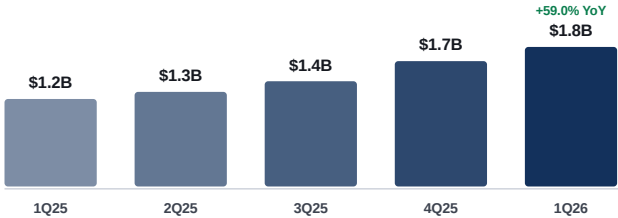
Source: yfinance income statement. Green = profit kept · salmon = costs · amber = non-operating. Margins shown as % of revenue.

- AI / Product:** Growth is driven almost entirely by AXON, AppLovin's AI bidding/recommendation engine, which continues to lift revenue-per-install and pull in new advertiser categories. Management frames AppLovin as 'building the world's best advertising AI model' and points to AXON's automated optimization as the reason a fully ad-only company can sustain ~85% adjusted-EBITDA margins.
- Demand:** Demand is broadening beyond mobile gaming: management cites continued early onboarding of web/e-commerce advertisers via the self-serve Axon Ads Manager (launched Oct 1, 2025, broader rollout through 1H 2026), with a high lead-to-active-campaign conversion rate, while CTV/streaming demand is addressed via Wurl. Q2 2026 guidance (\$1.915-1.945B revenue) implies continued sequential acceleration.

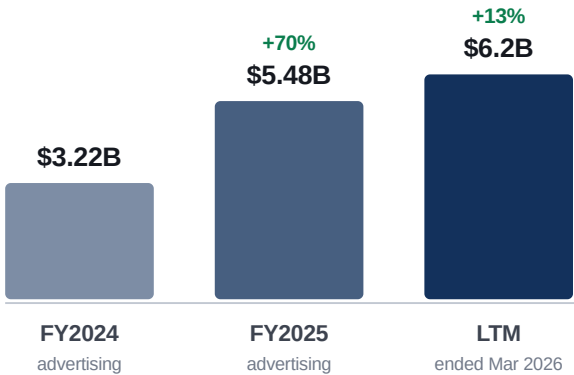
SOURCES: [APPOVIN Q1 2026 EARNINGS PRESS RELEASE \(FORM 8-K EX. 99.1\), SEC EDGAR](#) · [APPOVIN 10-Q \(PERIOD ENDED 2026-03-31\), SEC EDGAR](#)

REVENUE TRAJECTORY

QUARTERLY REVENUE (\$B)



ANNUAL REVENUE (\$B)



SOURCES: SEC EDGAR (as reported, continuing operations) · SEC EDGAR (as reported, FY2025 10-K, continuing operations) · yfinance / Yahoo Finance (live pull, 2026-06-10 close)

LAST 5 QUARTERS

	1Q25	2Q25	3Q25	4Q25	1Q26
REVENUE	\$1.2B	\$1.3B	\$1.4B	\$1.7B	\$1.8B
YOY					+59.0%
QOQ		+8.6%	+11.6%	+18.0%	+11.1%
GROSS MARGIN	86.9%	87.7%	87.6%	88.9%	88.9%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (1Q26): 59.0% YoY revenue growth.

KEY RISKS & DEBATES

- !

Short-seller / data-practices overhang: Fuzzy Panda, Culper and Muddy Waters (Feb-Mar 2025) alleged AXON impermissibly extracts proprietary device/user IDs and violates Google Play / app-store terms, and that e-commerce incrementality and advertiser retention are overstated; AppLovin denies the claims, but they and related class actions remain unresolved.
- !

Black-box AXON dependence: nearly all revenue and the ~85% margin flow through one proprietary AI engine whose inner workings AppLovin doesn't disclose, making the growth hard for outsiders to verify and exposing the company if the model's edge erodes or is replicated.
- !

Platform-policy risk (Apple/Google): the business runs on top of iOS and Android; changes to privacy rules (ATT), attribution signals, or app-store policies could materially impair AXON's targeting and the take-rate model.
- !

Concentration & advertiser churn: revenue is concentrated in performance advertisers (historically gaming); any pullback in ad budgets or the loss of a few large advertisers would hit results quickly.
- !

E-commerce / web expansion execution: the bull case leans heavily on AXON working as well for web and e-commerce as in mobile gaming; self-serve (Axon Ads Manager) is still early and unproven at scale, and a miss would deflate the TAM-expansion narrative.

! **Valuation / multiple risk:** at ~24.6x EV/Revenue (2026-06-10 close) the stock prices in sustained hyper-growth and pristine margins; any growth deceleration, margin slip, or escalation of the short-seller/regulatory narrative leaves little cushion.

SOURCES: CNBC, APPLOVIN PLUNGED 20% AS MUDDY WATERS GOES AFTER COMPANY ·
APPLOVIN 10-Q (RISK FACTORS / PERIOD ENDED 2026-03-31), SEC EDGAR

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
AppLovin subject; fully AI-run ad platform combining ~59% growth with ~85% adjusted-EBITDA margins, a scarce growth+profitability profile, with an unresolved short-seller overhang	APP	Subject	\$170.3B	27.8x	59.0%	88.4%	51.6%	111
Meta Platforms the scaled benchmark for AI-optimized performance advertising; bulls frame AppLovin as a smaller, faster-growing version of Meta's ads machine	META		\$1.7T	7.9x	33.1%	81.9%	11.9%	45
Roblox large gaming/engagement platform building its own ads business; a demand-side peer and barometer for in-app/gaming ad monetization	RBLX		\$39.6B	7.2x	39.3%	24.1%	22.7%	62
Unity Software closest direct rival in mobile-game ad mediation and user acquisition (Unity Ads / ironSource); AppLovin's AXON share gains have come substantially at Unity's expense	U		\$13.5B	7.1x	16.8%	74.7%	31.2%	48
The Trade Desk the other AI-driven adtech bellwether, a buy-side DSP for the open internet/CTV; growing far slower and trading far cheaper, the classic 'value vs momentum adtech' pair	TTD		\$9.2B	2.8x	11.8%	77.8%	19.2%	31
Peer median EX-SUBJECT				7.2x	25.0%	76.2%	20.9%	46

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-07-10 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **AppLovin trades at 27.8x vs a 7.2x peer median, a 288% premium to the median.**

SWOT ANALYSIS

How AppLovin stands out: AppLovin is the rare adtech name combining hyper-growth (~59% YoY) with ~85% adjusted-EBITDA margins and prodigious free cash flow, a fully AI-run ad platform that, unlike slower-growing The Trade Desk or scaled-but-mature Meta, is just beginning to expand AXON beyond gaming into web/e-commerce/CTV. The offset is the unresolved short-seller debate over how those results are produced.

STRENGTHS

INTERNAL EDGE

- **AXON AI moat:** A proprietary reinforcement-learning bidding/recommendation engine drives industry-leading revenue-per-install and is hard for rivals (Unity, others) to replicate.
- **Best-in-class margins & FCF:** ~85% Q1 2026 adjusted-EBITDA margin and \$1.29B quarterly free cash flow fund large buybacks (\$2.58B in FY2025) with no dependence on capital markets.
- **Clean, focused model:** Post-divestiture, AppLovin is a single advertising business, simpler to value and fully aligned around the AXON platform.

WEAKNESSES

INTERNAL GAP

- **Black-box / disclosure gap:** AXON's mechanics are opaque, so the growth is hard for outsiders to verify, the exact gap short-sellers exploited.
- **Advertiser concentration:** Revenue skews to performance advertisers (historically gaming), leaving results sensitive to a few large accounts and ad-budget swings.
- **Reputational overhang:** Unresolved short-seller allegations and related class actions cloud the narrative regardless of fundamentals.

OPPORTUNITIES

EXTERNAL UPSIDE

- **E-commerce / web TAM:** The self-serve Axon Ads Manager opens the large e-commerce/web ad market well beyond mobile gaming.
- **CTV / streaming:** Wurl gives AppLovin a foothold in fast-growing connected-TV advertising.
- **Self-serve scaling:** Broadening Axon Ads access through 1H 2026 could widen the advertiser pool dramatically with little incremental cost.

THREATS

EXTERNAL RISK

- **Apple/Google policy:** Privacy/attribution or app-store rule changes could degrade AXON's signal and the take-rate model.
- **Regulatory / legal:** Short-seller data-practice claims could draw scrutiny or litigation that constrains targeting methods.
- **Valuation reset:** At elevated EV/Rev (live multiple in comps table), any growth or margin disappointment risks a sharp de-rating, especially with the unresolved SEC inquiry overhang and recent YTD underperformance.

SOURCES: APPROVIN Q1 2026 EARNINGS PRESS RELEASE (8-K EX. 99.1), SEC EDGAR ·
YFINANCE / YAHOO FINANCE, LIVE COMPS (2026-06-10 CLOSE)

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-06-05 · period 2026-06-03	View on EDGAR ›
10-Q	filed 2026-05-06 · period 2026-03-31	View on EDGAR ›
8-K	filed 2026-05-06 · period 2026-05-06	View on EDGAR ›
10-K	filed 2026-02-19 · period 2025-12-31	View on EDGAR ›
10-Q	filed 2025-11-05 · period 2025-09-30	View on EDGAR ›
10-K	filed 2025-02-27 · period 2024-12-31	View on EDGAR ›

SOURCE: SEC EDGAR · CIK 0001751008 · primary filings of record.

SLIDE-READY BULLETS

- 1 A scarce growth-plus-profitability profile: Q1 2026 advertising revenue grew 59% YoY to \$1.84B at a ~85% adjusted-EBITDA margin, generating \$1.29B of quarterly free cash flow.
- 2 AXON is the moat: a proprietary reinforcement-learning bidding engine (AppDiscovery + MAX mediation) optimizes advertiser ROAS across millions of auctions per second, the reason a fully automated ad platform sustains ~85% margins.
- 3 The pivot is complete: AppLovin sold its games studios to Tripledot (closed June 2025), joined the S&P 500 (Sept 2025), and now reports as a single advertising business.
- 4 TAM expansion is the next leg: the self-serve Axon Ads Manager is pushing AXON beyond mobile gaming into web/e-commerce (Axon Pixel) and CTV (Wurl), the swing factor for the bull case.
- 5 The debate is trust, not growth: unresolved 2025 short-seller allegations (ID extraction, app-store policy, overstated incrementality) keep an overhang on a stock at ~24.6x EV/Revenue (as of the 2026-06-10 close).

SMART DILIGENCE QUESTIONS

- Q1 How incremental and durable are AXON's e-commerce/web conversions? What independent (holdout/lift) evidence supports the incrementality claims short-sellers disputed, what is real advertiser retention and churn outside gaming, and how quickly is self-serve Axon Ads converting from referral pilots to scaled, repeat spend?
- Q2 How exposed is the take-rate model to Apple/Google platform policy and signal loss? What share of AXON's targeting depends on identifiers or data flows that an ATT-style change, an app-store enforcement action, or a privacy ruling could impair, and what is the contingency if a key signal disappears?
- Q3 What does the unit economics look like as AppLovin scales beyond gaming? How do ROAS, take rate, and gross margin on web/e-commerce/CTV inventory compare to mobile-gaming installs, and does the ~85% adjusted-EBITDA margin hold as the advertiser mix diversifies?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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ATLAS